

American Express Response to IDR-2025-0847 -- Executive Compensation

Reference: IDR-2025-0847 | Date: 2025-08-10 | Prepared By: AMEX Tax Department | Reviewed By: Corporate Legal

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1. Executive Summary

American Express Company submits this response to IDR-2025-0847 regarding executive compensation for tax year 2023. All requested documents are enclosed. We confirm that all compensation arrangements comply with IRC Sections 162(m) and 409A requirements.

Total NEO compensation for tax year 2023 was \$47.2M across five named executive officers. Of this amount, \$12.8M represents performance-based incentive compensation tied to measurable financial metrics.

2. Employment Agreements

Enclosed are employment agreements for the five NEOs: the Chairman & CEO, CFO, President of Global Consumer Services, President of Global Commercial Services, and General Counsel. Each agreement was executed prior to November 2, 2017, and has not been materially modified since that date.

Key provisions include: base salary ranges from \$1.0M to \$1.7M, annual incentive target ranges from 200% to 400% of base salary, and long-term incentive grants valued between \$5M and \$15M at target.

3. Deferred Compensation Analysis

As of December 31, 2023, aggregate deferred compensation balances for NEOs totaled \$89.4M. All deferral elections were made in compliance with Section 409A timing requirements -- initial deferral elections were made within 30 days of plan eligibility, and subsequent elections were made by December 31 of the year prior to the service period.

Distribution triggers are limited to: separation from service (with 6-month delay for specified employees), disability, death, and change in control. No in-service distributions are permitted.

4. Section 162(m) Deductibility

We have prepared a detailed analysis demonstrating that \$23.1M of the total NEO compensation qualifies for the transition relief under the Tax Cuts and Jobs Act, as these amounts were payable under binding contracts in effect on November 2, 2017. The remaining \$24.1M is subject to the \$1M per-NEO deduction limitation.

Schedule A (attached) provides a per-NEO breakdown of deductible and non-deductible compensation components.

5. SERP Valuations

Actuarial valuations for the Supplemental Executive Retirement Plan were conducted by Towers Watson as of December 31, 2023. The projected benefit obligation for NEO participants totaled \$156.2M, with a current-year service cost of \$8.7M. Discount rate used: 5.25%. Mortality table: Pri-2012 with MP-2023 projection scale.